Stock utilization

The stock utilization ratios measure how efficiently a company's stocks are used. With the cost of borrowings being high, managers are constantly alert to the need to keep stocks low. In these days of the just-in-time principle, these ratios are always carefully scrutinized and evaluated.

Stock utilization can be measured by two ratios:

Stock turnover ratio

This ratio indicates the number of times stocks (inventory) are turned over in a year and is calculated by dividing the cost of goods sold in a year by the average stocks held in a year:

$$\text{Stock turnover ratio} = \frac{\text{Cost of goods sold}}{\text{Average stock}}$$

Stock holding ratio

The stock holding ratio measures the number of days of stocks (in relation to sales) held by a company. With companies attempting to keep as little stock as possible, this is an important efficiency indicator. It is calculated by expressing the stock held in terms of the days of cost of goods sold:

$$\text{Stock holding ratio} = \frac{\text{Average stock}}{\text{Cost of goods sold divided by 365}}$$

Illustration

The average inventory of Nandan Switchgears Ltd. was Rs. 150 crore in the previous year and Rs. 160 crore in its latest financial year. During this period the cost of goods sold was Rs. 1,050 crore and Rs. 1,200 crore, respectively. The ratios are as follows:

Stock turnover ratio: